

2024 HALF YEAR REPORT

CONSTITUTIONAL AGENCIES

1. INTRODUCTION

This paper intends to provide a summary of revenue collection by the Constitutional Agencies of the Government in the first six months of 2024.

The overall budget to be received by the Constitutional Agencies in the form of fees and charges is VT 11,498.5 million. This amounts to 24.1% of the total government revenue budgeted.

The Office of the Attorney General (OAG) and the Citizenship Office are accountable for collecting 99% of the constitutional agencies' anticipated revenue. The majority of the institutions do not generate revenue. They typically charge a user charge fee or a base price for the services offered. Clients or consumers of services must pay certain fees before they can benefit from a service.

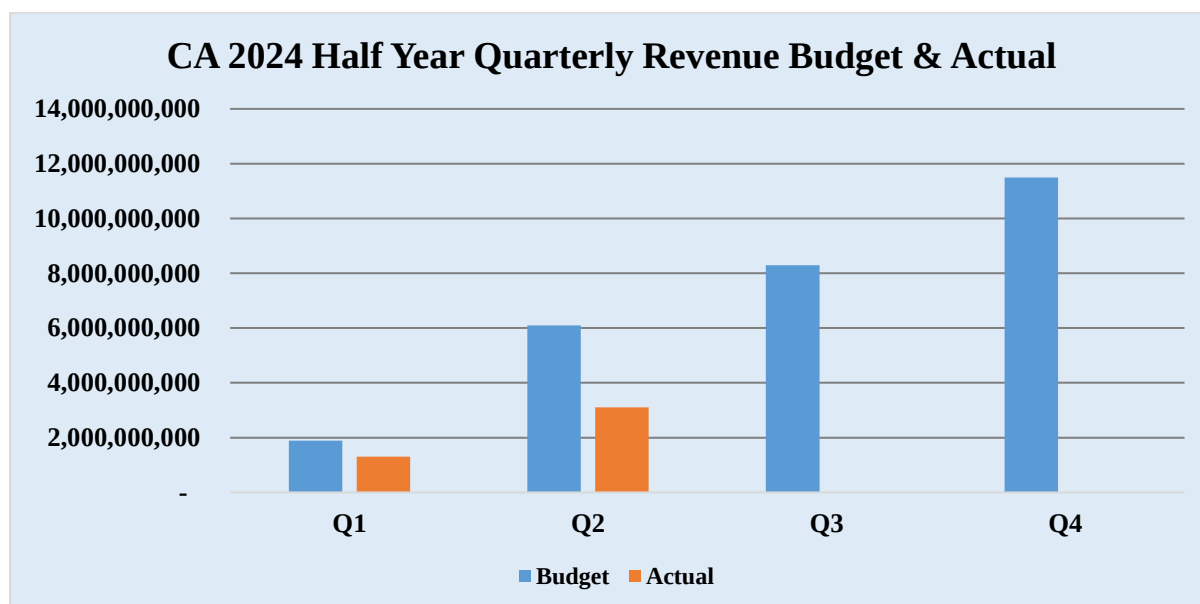
Table 1. Constitutional Agencies which are Revenue Collecting Agencies

Constitutional Agency	Total Constitutional Agencies % Share of Revenue
Citizenship Office	93.9%
Office of the Ombudsman	0.0%
State Law Office	5.5%
Public Prosecutor	0.0%
Public Solicitor	0.0%
Judiciary	0.2%
Public Service Commission	0.3%
National Audit Office	0.0%
Malvatumauri Council of Chiefs	0.0%

2. 2024 REVENUE UPDATE

Graph 2.1 below shows cumulative Constitutional Agencies' revenue budget for each progressive quarter against the actual revenue collected.

Graph 1. Constitutional Agencies' Cumulative Quarterly Revenue Budget vs. Actual



At the end of the first six month of 2024, the revenue collected by the Constitutional Agencies stood at VT 3,108.6 million against a revenue budget target of VT 6,095.2 million, with the Citizenship Office making up 94.2 % of the forecast. Collections, however, reached 51.0% of its forecasted revenue. Agencies contributing to this strong performance include the Citizenship Office and Office of the Attorney General.

3. GENERAL DISCUSSIONS - REVENUE COLLECTION BY DEPARTMENTS WITHIN CA

Annex 1 of this report provides an overview of the specific revenue collected within the Constitutional Agencies in the first half of 2024.

Revenue Collections by individual Agencies are presented in Table 2.

Table 2. Brief Summary – Half Year 2024 Revenue Budget vs. Actuals

Department	Q2 Budget	Q2 Actuals	Variance	Share of quarterly budget collected
Citizenship Office	5,791,487,932	2,961,814,235	-2,829,673,697	51.1%
Office of the Ombudsman	287,460		-287,460	0.0%
State Law Office	275,907,788	119,756,884	-156,150,904	43.4%
Public Prosecutor	726,420	228,270	-498,150	31.4%
Public Solicitor	361,017	928,889	567,872	257.3%
Judiciary	10,131,899	11,809,635	1,677,736	116.6%

Public Service Commission	16,282,826	13,554,092	-2,728,734	83.2%
National Audit Office	25,563	508,000	482,437	1987.2%
Malvatumauri Council of Chiefs	0	12,500	12,500	0%
Total	6,095,210,907	3,108,612,505	-2,986,598,402	51.0%

3.1. Citizenship Office

The Citizenship Office presently administers Vanuatu's Honorary Citizenship program. By transferring assets from wealthy individuals to developing countries, Citizenship Program programs "help create significant sovereign and societal value," boosting fiscal independence and addressing the escalating imbalances and inequalities inherent in traditional sovereign debt financing. Vanuatu is one of more than 60 countries that provide immigration investment opportunities, and at least 13 countries globally offer CBI schemes.

Vanuatu's Citizenship program is administered through the Vanuatu Development Support Program (VDSP), the Vanuatu Contribution Program (VCP), and the Capital Investment Immigration Plan (CIIP), which alone is anticipated to collect 22.7% of the National Revenue Budget in 2024.

Revenue from the VDSP and VCP programs, classified as Honorary Citizenship Program Fees and Capital Investment Immigration Plan Fees as CIIP, is expected to total VT 5,791.5 million in the first half of 2024. Actual collections, however, totalled VT 2,961.8 million at the end of the first half of the year.

From 2021 to 2024, we have noticed a reduction in revenue collection for the citizenship program. The obstacles associated with the EU visa waiver, as well as the corresponding bank issues, remain, as do the CIIP program's lower fees when compared to VCP and VDSP. However, the government is taking the appropriate measures to address these concerns.

3.2. Office of the Attorney General

The Office of the Attorney General (OAG)'s primary responsibilities include providing legal assistance to the government and advocating on its behalf in court. As a result of litigation, the Office also provides legislation drafting and policy advice to the government. The office also offers the government with financial intelligence services under the Anti-Money Laundering and Counter-Terrorism Financing Act No. 13 of 2014 ("AML&CTF Act"). The Financial Intelligence Unit (FIU) generates more than 90% of the revenue collected by this constitutional body.

At the end of quarter two 2024, the overall OAG revenue collection recorded an amount of VT 276 million. The actual revenue collection of first half of this year has reached 43.4% of its quarter two budget forecast.

Due diligence charges relating to the Honorary Citizenship Program are the OAG's principal source of revenue. According to the law, successful candidates for citizenship through the Vanuatu Development Support Program (VDSP), Vanuatu Development Programme (VDP) and the Capital Investment Immigration Plan (CIIP) must undergo a due diligence assessment by the Financial Intelligence Unit (FIU).

The Citizenship program's earnings will follow a similar trend as the FIU's due diligence fees. Due diligence fees and other associated charges collected by the OAG will increase in accordance with the revenue earned by the Citizenship program.

3.3. Public Prosecutor

The Public Prosecutor's revenue budget for the second quarter of 2024 is VT 726,420, with revenue collected thus far totalling VT 228,270. The Public Prosecutor's Office's principal source of funding is court costs.

3.4. Public Solicitor

The revenue collected under the Public Solicitors office is related to the user charge fees imposed to the service provided. The office has exceeded its budget target by 257.3% in the first half of this year. The collection recorded as Other Fees is from services provided for new mortgage and advice fees as well as new client fees.

3.5. Judiciary

The majority of the Judiciary's revenue comes from court fines imposed by this constitutional power. Typically, the Island Courts report the least amount of Court Fines as revenue, followed by the Magistrate Courts. Typically, fines must be paid prior to getting judicial services. In comparison to the first six months of this year's budget revenue objective of VT10.1 million, the Judiciary's actual income collection was VT 11.8 million, reaching 116.6% of the half-year target.

3.6. Public Service Commission

Compared to a VT 16.3 million in the first six month of the year revenue objective, the Public Service Commission (PSC) reported revenue collection of roughly VT 13.6 million which reaches 83.2% of its revenue budget target. Rental income from government housing units, known as government house recoveries, accounts for 98.1% of PSC's earnings this quarter.

4. OVERALL PERSPECTIVE ON 2024 REVENUE PERFORMANCE

Overall, the Constitutional Agencies' revenue-collection initiatives fell short of the revenue budget target for the first half of the year. The principal revenue collecting agencies are the Attorney General's Office and the Citizenship Office. Both organizations collect about 24.1% of total government revenue. The revenue collection only meets 51.0% of its half-year revenue target and 27.0% of its overall yearly revenue budget goal. The half-year revenue performance reveals a reduction in revenue trends when compared to previous years. The Citizenship program is the primary money-generating item for the government; nevertheless, concerns related to the corresponding bank issues, the EU visa waiver, and a cheaper CIIP program all contribute to a reduction in revenue.

ANNEX

Department	2024 Revenue Budget	Quarter 2 Budget	Quarter 2 Actuals	Variance	Share of quarter 2 budget collected(%)
Constitutional Agencies	11,498,513,185	6,095,210,907	3,108,612,505	-	51.0
Citizenship Office	10,801,362,335	5,791,487,932	2,961,814,235	-	51.1
Honorary Citizenship Program Fees	8,221,362,335	3,570,231,499	2,057,855,613	-	57.6
Other Fees	270,000,000	138,042,560		-	0.0
Citizenship Fees	320,000,000	160,000,000	10,271,345	-	6.4
Application Charges Recoveries	126,000,000	59,213,874	331,014	-	0.6
Capital Investment Immigration Plan Fees	1,864,000,000	1,864,000,000	893,356,263	-	47.9
Office of the Ombudsman	500,000	287,460		-	0.0
Other Fines	500,000	287,460		-	0.0
State Law Office	633,000,000	275,907,788	119,756,884	-	43.4
Honorary Citizenship Program Fees	630,000,000	273,585,539	61,247,676	-	22.4
Other Fines	1,000,000	574,920		-	0.0
Court Costs Recoveries		-		-	0.0
Publications Revenue	2,000,000	1,747,330	949,103	-	54.3
Capital Investment Immigration Plan Fees			57,560,105	-	0.0
Public Prosecutor	1,871,840	726,420	228,270	-	31.4
Court Costs Recoveries	751,490	277,014	228,270	-	82.4
Other Recoveries	1,120,350	449,406		-	0.0
Public Solicitor	900,000	361,017	928,889	-	257.3
Other Recoveries	900,000	361,017	928,889	-	257.3
Judiciary	26,729,010	10,131,899	11,809,635	-	116.6
Court Fees	920,000	467,410		-	0.0
Other Fees		-		-	0.0
Court Costs Recoveries	24,734,010	9,117,444	7,745,890	-	85.0
Court Fines	1,075,000	547,045	4,063,745	-	742.9

Public Service Commission	34,100,000	16,282,826	13,554,092	- 2,728,734	83.2
Miscellaneous Charges				-	0.0
Vehicles Disposals	100,000	57,475		- 57,475	0.0
Government Houses Recoveries	34,000,000	16,225,352	13,554,092	- 2,671,260	83.5
Vehicle Hire		-		-	0.0
National Audit Office	50,000	25,563	508,000	482,437	1987.2
Other Fees	50,000	25,563	508,000	482,437	1987.2
Malvatumauri Council of Chiefs			12,500	12,500	0.0
Other Fees			12,500	12,500	0.0